

price up briefly before a new round of selling takes hold. Each day the stock drops a bit lower, nibbling away like waves washing against a castle of sand. In 2 months' time, the stock is down another 30%.

The following quarter JCB Superstores announces that earnings will likely come in well below consensus estimates. The stock drops another 15%. The company is trying to correct the distribution problem, but it is not something easily fixed. It decides to stop expanding and to concentrate on the profitability of its existing store base.

Two years later, Tom pulls up the stock chart. The dog has been flat for so long it looks as if its heartbeat has stopped. He calls Jim and chats about the outlook for JCB Superstores. Jim gushes enthusiastically about a new retailing concept called the Internet. He is excited about the opportunity to sell office supplies online without the need for bricks and mortar. There is some risk because the online community is in its infancy, but Jim predicts demand will expand quickly. Tom is impressed, so he starts doing his homework and is soon buying the stock again.

Investment Footprints

If you picture in your mind the price action of JCB Superstores, you may recognize three chart patterns: a double bottom, a double top, and a dead-cat bounce. To knowledgeable investors, chart patterns are not squiggles on a price chart; they are the footprints left by the smart money. The footprints are all they need to follow as they line their pockets with greater and greater riches.

To others, such as Tom, it takes hard work and pavement pounding before they dare take a position in a stock. They are the ones *making* the footprints. They are the smart money that is setting the rules of the game—a game anyone can play. It is called investing.

Whether you choose to use technical analysis or fundamental analysis in your trading decisions, it pays to know what the market is thinking. It pays to look for the footprints. Those footprints may well steer you away from a cliff and get you out of a stock just in time. The feet that make those footprints are the same ones that will kick you in the pants, waking you up to a promising investment opportunity.